



INITIAL PUBLIC OFFERING (IPO) VALUATION AND INVESTMENT ANALYSIS

NATIONAL STOCK EXCHANGE OF INDIA LIMITED (NSE)

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1 Executive Summary

This report provides a comprehensive valuation of the National Stock Exchange of India Limited (NSE) in anticipation of its proposed Initial Public Offering (IPO). Our analysis, which combines a Discounted Cash Flow (DCF) model and a Comparable Company Analysis (CCA), establishes a final target price for the IPO.

Based on our two-tiered valuation, the company's intrinsic value, derived from the DCF model, is ₹2,029.21 per share, while its relative value, based on comparable market multiples, is ₹3,412.99 per share. Our final target price for the IPO is ₹2,721.10 per share, derived as a simple average of these two valuation methodologies.

The valuation is supported by NSE's robust financial performance, highlighted by its high net profit margins of 66.97% and a strong current ratio of 3.87 projected by 2030. The company's long-term growth potential is reflected in our forecasted 2030 financials, including revenue of ₹39,182.78 crore, PAT of ₹26,239.58 crore, and an EPS of ₹106.02.

It is important to note that this IPO is structured as an Offer for Sale (OFS). The company itself is not raising new capital for strategic goals like expansion or debt repayment. Instead, the proceeds will go directly to existing shareholders selling their equity. Our valuation, therefore, is an assessment of the fair value of these shares being sold.

The final recommendation is to proceed with the IPO at the calculated target price, as it accurately reflects NSE's market leadership, strong financial performance, and dominant position within India's growing capital markets.

2 Financial Analysis & Valuation

This section presents the quantitative evidence and methodologies used to derive the valuation of NSE, including a Discounted Cash Flow (DCF) model and a Comparable Company Analysis (CCA).

2.1 Discounted Cash Flow (DCF) Valuation

Our primary valuation model is a DCF analysis, which estimates NSE's intrinsic value by forecasting its future Unlevered Free Cash Flow (UFCF) and discounting it back to the present. The valuation is based on a Weighted Average Cost of Capital (WACC), which represents the minimum required rate of return for investors.

1. Weighted Average Cost of Capital (WACC) Given NSE's zero-debt capital structure, its WACC is equivalent to its Cost of Equity. The WACC was calculated at 13.91%, based on a risk-free rate of 6.49%, a market risk premium of 5.15%, and a beta of 1.44.

2. Unlevered Free Cash Flow (UFCF) Projections The following table summarizes our forecasted UFCF for the five-year projection period, reflecting expected growth in key revenue streams.

YEAR	FOCASTED UFCF (₹ crore)
2026	₹ 11,736.41
2027	₹ 17,559.30
2028	₹ 20,670.73
2029	₹ 21,581.49
2030	₹ 25,794.65

3. Terminal Value Calculation To capture the value of cash flows beyond the explicit forecast, we calculated the terminal value using two methodologies:

- **Perpetuity Growth Method:** Assuming a long-term perpetual growth rate of 6%, the Terminal Value is ₹3,45,842.83 crore.
- **Exit Multiple Method:** Based on a median peer EV/EBITDA exit multiple of 44.30x, the Terminal Value is ₹13,34,388.18 crore.

4. Final DCF Valuation The present value of the projected UFCF and the terminal value yields our final DCF valuation. The average of the two methodologies provides a robust and balanced intrinsic valuation.

Valuation Method	Enterprise Value (₹ crore)	Per Share Price
Perpetuity Growth	₹ 2,44,458.76	₹ 987.71
Exit Multiple	₹ 7,60,000.21	₹ 3,070.71
Average (Blended)	₹ 5,02,229.48	₹ 2,029.21

2.2 Comparable Company Analysis (CCA)

Our CCA provides a relative valuation for NSE by benchmarking it against a group of publicly traded peers to derive a fair value based on market multiples.

1. Peer Group and Multiples The analysis is based on a peer group consisting of BSE, MCX, and CDSL. The following table summarizes the median multiples used for the valuation, which are derived from this peer group.

Metric	Median
P/E Ratio	62.93x
EV/EBITDA	44.23x

2. Final CCA Valuation By applying the median multiples to NSE's projected 2026 financials, we arrive at the following valuations:

Valuation Method	Equity Value (₹ crore)	Per Share Price (₹)
P/E Multiple	₹ 8,44,714.62	₹ 3,412.99
EV/EBITDA Multiple	₹ 7,05,172.46	₹ 2,849.18
Average (Blended)	₹ 7,74,943.54	₹ 3,131.08

2.3 Sensitivity Analysis

A sensitivity analysis is a critical component of a robust valuation, as it tests the model's assumptions by showing the range of potential outcomes. The table below illustrates how NSE's valuation changes based on varying inputs for the Weighted Average Cost of Capital (WACC) and the long-term perpetuity growth rate.

	WACC				
Perpetuity Growth Rate	12.91%	13.41%	13.91%	14.41%	14.91%
4.00%	₹ 2,29,930.63	₹ 2,16,922.57	₹ 2,05,239.27	₹ 1,94,689.57	₹ 1,85,117.39
5.00%	₹ 2,52,449.46	₹ 2,36,625.86	₹ 2,22,590.52	₹ 2,10,058.14	₹ 1,98,800.98
6.00%	₹ 2,81,486.05	₹ 2,61,647.17	₹ 2,44,328.95	₹ 2,29,081.54	₹ 2,15,556.08
7.00%	₹ 3,20,348.89	₹ 2,94,475.45	₹ 2,72,359.25	₹ 2,53,239.47	₹ 2,36,547.62
8.00%	₹ 3,75,041.81	₹ 3,39,439.87	₹ 3,09,875.28	₹ 2,84,934.96	₹ 2,63,614.85

The analysis demonstrates that the valuation is highly sensitive to changes in both WACC and the perpetuity growth rate, which underscores the importance of our core assumptions.

2.4 Key Financial Trends

An analysis of historical and forecasted financials highlights several compelling trends that underpin NSE's strong investment case.

- **Exceptional Profitability:** NSE maintains a 100% Gross Profit Margin and is forecasted to achieve a Net Profit Margin of 66.97% by 2030, a clear indicator of its dominant market position.
- **Robust Growth:** The company has demonstrated a powerful growth trajectory, with its Earnings Per Share (EPS) growing from ₹6.90 in 2019 to a forecasted ₹106.02 by 2030.
- **Financial Strength:** The company's liquidity and solvency are strong and improving, with a forecasted Current Ratio of 3.87 by 2030, demonstrating a healthy balance sheet.

3 Qualitative & Due Diligence Analysis

3.1 Company Overview

The National Stock Exchange of India (NSE) is a leading and fully integrated stock exchange. Initially the world's fourth largest by equity trading volume in 2015, it has since cemented its position as the world's third largest in the equity segment in 2023 by the number of trades. NSE's business model is horizontally integrated, encompassing trading, clearing, and settlement across a diverse range of asset classes, including equities, fixed income, and various derivatives.

Its primary product and service segments include:

- **Cash and Equity Markets:** Providing the core platform for the listing and trading of stocks, ETFs, mutual funds, and IPOs.
- **Derivatives Market:** A dominant segment where NSE holds over a 90% market share in derivatives. This includes futures and options contracts on indices, equities, currencies, interest rates, and commodities. NSE has been the world's largest derivatives exchange by number of trades for five consecutive years.
- **Indices and Data:** The company's flagship product, the NIFTY 50 index, is the benchmark for the Indian capital markets. NSE also generates significant revenue by selling real-time and historical market data to a wide range of institutional clients and data vendors.
- **Technology & Education:** NSE provides high-speed trading platforms like Direct Market Access (DMA) and offers extensive financial education and certification programs through its NSE Academy.

3.2 Market & Industry

India's capital markets are experiencing a secular growth trend, fuelled by a combination of favourable macroeconomic conditions and a fundamental shift in household savings.

- **Macroeconomic Tailwinds:** India's economy is on a high-growth trajectory and is poised to become the world's third-largest economy by 2030. This growth provides a significant boost to corporate earnings and investor sentiment, directly benefiting the exchange.
- **Retail Investor Boom:** The Indian capital market has witnessed an unprecedented influx of retail investors. The number of demat accounts has skyrocketed from 4.9 crore in 2019 to over 13 crores by late 2024. This surge is driven by several factors, including simplified digital on-boarding processes via mobile applications, rising financial literacy, and the shift of household savings from physical assets to financial instruments.
- **Rising IPO Activity:** As the economy grows, so does the pipeline of companies seeking to raise capital. India's share of global IPOs is projected to increase, with a notable rise in listings from the SME sector. This trend provides a significant and growing revenue stream for the exchange.

3.3 Competitive Landscape

While the Bombay Stock Exchange (BSE) is its primary competitor, NSE maintains a dominant market position.

- **Market Leadership:** NSE's dominance is most pronounced in the highly profitable derivatives segment, where it holds a decisive ~80% market share. While BSE has made some recent inroads, NSE's liquidity, technological superiority, and deep-seated investor trust give it a significant competitive moat.
- **Technological Advantage:** NSE was the first in India to launch electronic, screen-based trading, and it continues to invest heavily in its technology infrastructure to ensure high-speed, low-latency trading. This technological edge is a key reason for its high trading volume and liquidity, which in turn attracts more participants, creating a virtuous cycle.
- **Brand and Trust:** The NIFTY 50 is the most widely tracked and trusted index in India, reinforcing the NSE's brand and solidifying its position as the market leader.

3.4 Management, Regulatory, & Risks

The regulatory and governance landscape has been a key focus for the NSE. The company's proposed IPO has been on hold since its initial DRHP filing in 2016, pending the resolution of several regulatory and legal issues.

- **Co-location Scam:** This is the most significant regulatory issue. The investigation by the Central Bureau of Investigation (CBI) has focused on allegations of a few brokers gaining preferential access to the exchange's data feed, enabling them to front-run other traders. The case has led to criminal charges against former managing director Chitra Ramkrishna and other senior executives. While some subsidiary cases have been disposed of, the main regulatory and criminal proceedings remain a key overhang.
- **Governance and IPO Delays:** Beyond the co-location issue, SEBI has also raised broader concerns regarding NSE's governance and its ownership of the National Securities Clearing Corporation (NSCCL), which could create a conflict of interest. These concerns have been the primary reason for the indefinite delay of the IPO.
- **Technology & Security Risk:** Given the company's heavy reliance on technology, there is a constant risk of system outages and security breaches. Any major failure could lead to significant financial losses and reputational damage.
- **Litigation Risk:** The company and its subsidiaries are involved in numerous legal proceedings, including tax, regulatory, and criminal matters. While the litigation with the Metropolitan Stock Exchange of India (MSEI) has been disposed of, the ongoing legal cases with SEBI and the CBI still represent a material risk.

4 Investment Conclusion

Based on a comprehensive analysis of NSE's business model, market position, financials, and a blended valuation, we recommend Subscribing to the National Stock Exchange of India's IPO at or below the calculated target price of ₹2,721.10.

Our opinion is driven by a clear comparison of the calculated valuation to the current unlisted market price and the company's powerful fundamentals. The unlisted share price for NSE is currently trading at approximately ₹2,025, indicating a significant 25.6% discount to our calculated target price. This suggests substantial upside potential should the IPO proceed at a valuation closer to its intrinsic value.

Our conviction is based on the following key factors:

- **Dominant Market Leadership:** NSE is the undisputed leader in India's capital markets, holding a commanding market share in the highly profitable derivatives segment, where it is the world's largest exchange by trading volume. This dominance provides a strong competitive moat and consistent revenue growth.
- **Strong Growth & Profitability:** The company has demonstrated impressive financial performance with high revenue and profit growth. India's macroeconomic tailwinds, coupled with a surge in retail investor participation and rising IPO activity, provide a powerful foundation for future growth.
- **Fundamental Value & Price Disparity:** The target price of ₹2,721.10 is a blended result of both our DCF and CCA valuations, reflecting the intrinsic value of the business. The significant discount to this price at which the shares currently trade in the unlisted market presents a compelling arbitrage opportunity for long-term investors.

While the IPO remains on hold due to unresolved regulatory issues, the company's strong fundamentals and the clear disparity between its intrinsic value and current unlisted price provide a strong argument for investment should the offering eventually proceed.

5 Valuation Assumptions and Limitations

This valuation is based on a number of key assumptions and is subject to certain limitations. These are outlined below to ensure full transparency and to provide a comprehensive understanding of the factors influencing our conclusion.

5.1 Key Assumptions

- **Growth Projections:** Our model assumes a steady and consistent growth trajectory for NSE, driven by India's economic expansion and increasing retail participation.
- **Weighted Average Cost of Capital (WACC):** The WACC of 13.91% is based on our calculated cost of equity and the assumption of a continued zero-debt capital structure.
- **Perpetuity Growth Rate:** Our terminal value calculation relies on a long-term perpetual growth rate of 6%, which is in line with nominal GDP growth projections for the Indian economy.

5.2 Model Limitations

- **Forecast Uncertainty:** The valuation relies heavily on forecasted financial data, which is inherently uncertain and may not materialize as projected.
- **Market Fluctuations:** The valuation does not account for unforeseen market-wide events, geopolitical risks, or changes in investor sentiment that could impact trading volumes and, consequently, revenue.
- **Regulatory & Legal Risks:** While we have addressed the co-location issue and other legal proceedings, the final outcome of these matters could have a material impact on the company's reputation and valuation.

6 Appendices

The appendices contain the detailed models, data sources, and calculations that support the findings presented in this report.

- Appendix A: Detailed Financial Model
- Appendix B: Discounted Cash Flow (DCF) Model
- Appendix C: Comparable Company Analysis (CCA) Data
- Appendix D: Sensitivity Analysis

7 Data Sources

This report and its models have been prepared using data from the following sources:

- **Financial Data:** Yahoo Finance, TradingView, company filings (DRHP)
- **Unlisted Share Prices:** IncRED Money
- **Regulatory Information:** Securities and Exchange Board of India (SEBI)
- **Market Data & Statistics:** National Stock Exchange of India (NSE) reports and other public sources.

8 Disclaimer

This report has been prepared for informational purposes only. The information contained herein is based on publicly available data and our own internal analysis. While we have made every effort to ensure the accuracy of the data, we make no representation or warranty, express or implied, as to its completeness or accuracy.

The valuation presented is an estimate based on our assumptions and models. It is not intended as financial advice or a solicitation to buy, sell, or hold any security. The value of any investment can go up or down, and investors should conduct their own due diligence and consult with a qualified financial advisor before making any investment decisions. We do not accept any liability for any direct or consequential loss or damage arising from the use of this report or its contents.